Are Japan's rate hikes like America's?

Rising rates = falling stocks: this is a basic principle. Yet Japan may not see the same outcome.

Conclusion

This is not a world first. However, normalizing interest rates while shifting from prolonged deflation to inflation is a fairly unusual phase even among major advanced economies.

Why rates rise matters

Higher rates raise the discount rate for equities and theoretically weigh on share prices. But if wages, prices, sales and corporate profits grow together, earnings growth can outweigh the negative effect of rising rates.

Look beyond the rate hike to the economic changes behind it. Avoid calling this a “world first”: countries have repeatedly raised rates during inflation.

The US and Japan: different rate hikes

The pattern typically feared in the US

High inflation → the Fed cools the economy → rate hikes → higher funding costs → lower P/E ratios → headwinds for shares.

A possible pattern in Japan

Escape from prolonged deflation → rising wages and prices → higher nominal sales and profits → normalization of ultra-low rates → room for rates and share prices to rise together.

Even a 1% rate hike can mean different things

Is it tightening intended to weaken the economy, or a return from ultra-low rates as the economy normalizes? This distinction greatly changes the effect on the stock market.

Japanese shares are not one uniform market

Potential beneficiaries of rising rates

Banks and insurers may gain room to improve interest margins and investment income as interest rates normalize.

Potential headwinds

High-P/E growth shares, real estate and debt-dependent companies are more exposed to higher discount rates and funding costs.

Watch exchange rates too

If hikes bring yen appreciation, exporters may face headwinds. Meanwhile, lower imported raw-material and energy costs may benefit companies serving domestic demand.

Look beyond whether the Nikkei rises or falls: follow capital flows caused by rising rates and the resulting winners and losers across sectors.

To assess Japan, look beyond rates

A strong scenario

Wages ↑ prices ↑ nominal GDP ↑ corporate profits ↑, with gradual interest-rate normalization. In this combination, rising rates and share prices are compatible.

A dangerous scenario

Prices ↑ rates ↑, but real growth and corporate profits ↓. Earnings and valuations can fall together, making conditions difficult for shares.

What matters is not simply whether rates rise, but whether Japanese corporate profits and the nominal economy can grow faster than rates.

Japan may now shift from a market premised on prolonged deflation and ultra-low rates to one with inflation and positive rates. Applying past US formulas unchanged to Japan is dangerous.